

Epilogue

I am often asked by readers how doing the *Market Wizards* interviews affected my own trading. The interview and writing process has helped solidify in my own mind the principles that are important to trading success. At times, it has also had a very specific influence. A great example occurred last summer. At the time, the stock market was approaching the high end of a long-term trading range, and for a variety of reasons, I expected the rally to fail and was positioned on the short side of stock index futures. Then the government released an extremely bearish employment report. It was so negative that commentators couldn't even cite one offsetting bullish consideration, as they usually do. The market initially sold off sharply in response—"Perfect," I thought of my trade—but by the end of the day, it nearly recovered the entire loss, ending the week near the recent high. From the perspective of a short, this was terrible price action. I thought I was in trouble. I was prepared to cover most of my position when the market opened on Sunday night. On Sunday night, however, the market opened lower. I immediately thought of Marty Schwartz's advice in my first *Market Wizards* book: "If you're very nervous about a position overnight, and especially over the weekend, and you're able to get out at a much better price than you thought when the market trades, you're usually better off staying with the position." I did, and Schwartz's insight saved me a lot of money, as the market proceeded to move sharply lower in the ensuing weeks.

Each trader must draw personal insights from these interviews. What is important will very much depend on your own trading style. But I believe all traders, regardless of their approach, can draw important lessons from the advice and comments of the traders interviewed. The relevant interviews and advice will just be different for each reader. As one personal example, I think my interview of Jimmy Balodimas, whose basic approach is radically different from my own, influenced me to trade more around positions—that is, to treat trades as more of a dynamic rather than static process—an aspect of his approach more in tune with my own natural